



The BiteREPORT Experts see the devil in the fiscal deficit while they praise the



BIBEK DEBROY
Professor, Centre for
Policy Research & IMI



SUMAN K. BERY
Director-General,
NCAER



MAHENDRA DEV
Chairman,
CACP



AJIT RANADE
Chief Economist,
Aditya Birla Group



SIDDHARTH ROY
Chief Economist,
Tata Group

GOOD

- Removal of surcharge
- Movement towards Goods and Services Tax (GST)
- Targeting of subsidies

- Reaffirmation to implementing GST by April 2010
- Restructuring of subsidies
- Abolition of the Fringe Benefit Tax (FBT)

- Boost to rural development
- No change in tax structure
- Movement towards GST regime

- Tax and subsidy reform, and removal of surcharge and FBT
- Infrastructure push, including a booster to rural housing
- Reaffirmation to implementing GST by April 2010

- Thrust on increasing demand by cutting taxes and removing surcharge and FBT
- Streamlining other irritants and taxes
- Movement towards GST regime and better targeting of subsidies

BAD

- Taxing ESOPs as fringe benefits
- Missing roadmap on tackling 6.8 per cent fiscal deficit
- Lacks the ability to enthuse people, no sense of direction

- Continuation of the interest subsidy
- Postponement of action on petroleum pricing decontrol
- The praise of bank nationalisation was unnecessary and gratuitous

- No articulation on tackling food inflation like an initiative on food management
- No clarity on funding of fiscal deficit
- No measures to push food processing to avoid wastage

- No articulation of long-term strategy
- A rather short-term Budget that is more like a one-year project
- Investment-based tax relief should have had a wider coverage

- Lacks clarity on how the deficit will be bridged
- Silence on disinvestment is worrisome
- More infrastructure projects could have been announced with clearly defined targets

FORECAST FOR 2009-2010*

Inflation **5.5%**
Interest **8-8.5%**
Rs-\$ rate **46.5**
GDP **6.5-7.5%**

Inflation **5%**
Interest **7%**
Rs-\$ rate **47-48**
GDP **7%**

Inflation **4%**
Interest **7%**
Rs-\$ rate **47**
GDP **6.5-7%**

Inflation **4-4.5%**
Interest **6.5-7%**
Rs-\$ rate **46.5**
GDP **6.5-7%**

Inflation **6%**
Interest **6.9-7.7**
Rs-\$ rate **48**
GDP **6.5%**

THE BUDGET RATING

8

10

8

10

7

10

7

10

8

10